BAAJA: additional data-center payments

Transmission projection | 2027-2056 | Constant 2026 dollars

A. EXTRA RELIEF TO OTHER RATEPAYERS

$56.0bn

Above the embedded-tariff baseline, retaining existing direct obligations.

B. ABOVE THE SERVICE-COST BENCHMARK

$55.6bn

Above the higher of baseline payments and allocated incremental cost.

Central recommendation: about $55 billion for each measure. The two amounts overlap; do not add them. In the central case, ordinary payments already cover allocated incremental costs in most modeled regions, so almost all extra payments also exceed the higher-of benchmark.

Without BAAJA	Higher-of benchmark	With BAAJA
$177.0bn	$177.4bn	$233.0bn

Payment ledger covers 2030-2056. Extra annual payments rise from $1.2bn in 2030 to $2.9bn in 2056.

The larger **$145bn above incremental cost alone** includes about $89bn that customers would already contribute without BAAJA. It is not all new relief and is not our above-cost-of-service estimate.

How the projection is built

Load: LBNL's 649 TWh in 2030; our extrapolation grows 3% annually through 2040, then 1.5%, reaching 1,107 TWh in 2056. Use 80% load factor and 75% modeled coverage. [1]

Embedded charges: $95,100/MW-year national starting proxy, cross-checked against actual PJM tariffs. Half of covered growth uses PJM zonal rates and billing pools; the remainder uses a residual U.S. pool. Inherited rates before new DC growth stay flat in real terms. [2]

Assigned upgrades: $650,000/MW in 2026 dollars for local/network work, including the DC share of shared upgrades; new construction rises 1% annually above inflation. Assume 35% of capital is already funded directly. Retain operating costs unless separately funded. Recover capital over 40 years at 5% real financing, plus 1.5% annual operating cost.

Evidence checks and uncertainty

Dominion's selected local DC projects imply roughly $0.34m/MW; MISO LEAP phases, $0.47m/MW. These incomplete packages support a larger full-network allowance. AEP's $0.42m/MW Piketon announcement includes a customer-funding commitment, demonstrating why prior payments matter. The $0.65m cost and 35% funding inputs are planning judgments, not measured national averages. [2-4]

At $0.30m-$1.00m/MW, additional relief is **$26bn-$86bn**, holding other assumptions fixed. Faster growth raises the central-cost result to $90bn. A $2m/MW stress produces $172bn extra relief but $139bn above the higher-of benchmark. These are sensitivity cases, not confidence bounds.

BENCHMARK AND SCOPE: Cost of service here means the chosen higher-of payment benchmark: the larger of ordinary transmission payments (including existing direct obligations) and allocated incremental service cost. If fully allocated cost includes incremental cost plus the inherited-network share, excess is zero by construction. The higher-of figure is not a finding of overpayment above that alternative allocation. Required revenue credits are included. Fixed demand/investment; transmission only; new 2027-2056 growth; charges start in 2030. Amounts are undiscounted annualized payment equivalents, not literal timing of upfront contributions. [5]

SOURCES: [1] LBNL demand | [2] Inputs, regional tariffs and full methods | [3] MISO MTEP25 | [4] AEP funding announcement | [5] S.5653 section 2107(a)